Points to remember

- Computers play a major role in various business activities.
- In accounting computer is commonly used in many areas such as, recording business transactions, payroll accounting etc.
- Accounting softwares are classified as (i) Readymade software, (ii) Customised software and (iii) Tailormade software.
- Few of the software commonly used in business include, MS-office, (Word, Excel etc.), Tally, SAP, Finacle.

Self - examination questions

ND4CK

I Multiple Choice Questions

Choose the correct answer

1. In accounting, computer is commonly used in the following areas:
   (a) Recording of business transactions
   (b) Payroll accounting
   (c) Stores accounting
   (d) All the above

2. Customised accounting software is suitable for
   (a) Small, conventional business
   (b) Large, medium business
   (c) Large, typical business
   (d) None of the above

3. Which one is not a component of computer system?
   (a) Input unit
   (b) Output unit
   (c) Data
   (d) Central Processing Unit

4. An example of output device is
   (a) Mouse
   (b) Printer
   (c) Scanner
   (d) Keyboard

5. One of the limitations of computerised accounting system is
   (a) System failure
   (b) Accuracy
   (c) Versatility
   (d) Storage

Accountancy Unit-14.indd 336 12/12/2021 6:23:38 PM